free-for-all found it necessary to familiarize themselves with the concept of a margin of safety.

Rather, it's the intelligence, humanity, and good humor of *Security Analysis* that to me explain the book's long life and the adoring loyalty of Graham's readers. Was there ever a Wall Street moneymaker better steeped than Graham in classical languages and literature *and* in the financial history of his own time? I would bet "no" with all the confidence of a value investor laying down money to buy a bargain.

Yet this great investment thinker and doer was, to a degree, a prisoner of his own times. He could see that some of the experiences through which he lived were unique, that the Great Depression was, in fact, a great anomaly. If anyone understood the folly of projecting current experience into the unpredictable future, it was Graham. Yet this investment philosopher king, having spent 727 pages (not including the gold mine of an appendix) describing how a careful and risk-averse investor could prosper in every kind of macroeconomic condition, arrives at a remarkable conclusion.

How should he invest? Graham asks, and he answers, at first diffidently: Who is he to prescribe for the experienced financiers at the head of America's philanthropic and educational institutions? But then he takes the astonishing plunge. "An institution," Graham writes, "that can manage to get along on the low income provided by high-grade fixed-value issues should, in our opinion, confine its holdings to this field. We doubt if the better performance of common-stock indexes over past periods will, in itself, warrant the heavy responsibilities and the recurring uncertainties that are inseparable from a common-stock investment program." (Chap. 52)

Could the greatest value investor have meant that? Did the man who stuck it out through ruinous losses in the Depression years and went on to thrive in the prosperous postwar era really mean that common stocks were not worth the bother? In 1940, with a new world